

CAMS EXAM MASTERY

ALL HARD QUESTIONS & EXAM TRAPS

Complete Tutorial Every Concept You Get Wrong

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Authentication The Biometrics Trap

The Hard Question CAMS Exam Favorite

Which technologies enhance authentication and security in financial systems? (Select Three.)

✓ **CORRECT: 1. Multi-factor authentication. 2. Physiological biometrics. 3. Behavioral biometrics.**

Natural Explanation Why You Got This Wrong

- ▶ Password biometrics This is a **trap**. There is **no such thing** as "password biometrics." Passwords are **not biometrics**.
- ▶ **Multi-factor authentication (MFA)** = multiple factors (something you know, have, are).
- ▶ **Physiological biometrics** = physical traits (fingerprint, facial recognition, iris scan, voice).
- ▶ **Behavioral biometrics** = behavioral patterns (typing rhythm, mouse movements, gait).
- ▶ **Key principle:** Biometrics are **physical or behavioral**. Passwords are **knowledge-based**.

REMEMBER: Key Rule: MFA + physiological + behavioral = correct. "Password biometrics" = trap.

The Scenario CAMS Exam Favorite

A startup in Germany plans to issue a new crypto token and market it throughout the EU.

The Hard Question

What step must it take under MiCA regulations?

✓ **CORRECT: Publish a crypto-asset white paper and notify the national authority.**

Natural Explanation Why You Got This Wrong

- ▶ Seek regulatory approval in each EU country This is what you'd do **without** MiCA. But MiCA creates a **harmonized** market.
- ▶ **White paper requirement:** Must publish a detailed disclosure document explaining the token, risks, and rights.
- ▶ **Notification:** Notify the national competent authority in your **home country** (Germany).
- ▶ **Passporting:** Once approved, can operate across **all EU countries** without additional approvals.
- ▶ **Key principle:** MiCA = **one notification** + **passporting**. NOT each country.

REMEMBER: Key Rule: MiCA = **white paper** + **one national notification**. Passporting across EU.

MLAT The Admissibility Trap

The Scenario CAMS Exam Favorite

Two countries, A and B, are establishing an MLAT. Country A has **data protection rules** preventing sharing of client identities. Country B bases investigations on **beneficial ownership disclosures**.

The Hard Question

What challenge is most likely to arise in implementing the MLAT?

✓ **CORRECT:** Evidence exchanged under the MLAT will NOT be admissible in Country B's legal system.

Natural Explanation Why You Got This Wrong

- ▶ Most candidates think: Country A's data protection rules will prevent sharing. This is **obvious**. The exam tests **deeper** understanding.
- ▶ **Admissibility** is the legal standard for evidence in court.
- ▶ Even if Country A **shares** the data, Country B's courts may **reject** it.
- ▶ Why? Country B's evidentiary standards may require **different handling**, **chain of custody**, or **authentication**.
- ▶ **Key principle:** MLATs must address both **sharing** AND **admissibility**. The exam tests admissibility.

REMEMBER: Key Rule: MLAT challenge = **admissibility**, not just sharing.

PPP The Real-Time Intelligence Trap

The Scenario CAMS Exam Trap

An FIU wants to use the PPP model for **real-time intelligence sharing** to disrupt a terrorist financing network.

The Hard Question

Which approach is most aligned with PPP goals?

✓ **CORRECT:** Establishing a formal platform with direct two-way communication on specific threats.

Natural Explanation Why You Got This Wrong

- ▶ Many candidates choose anonymized, aggregated format after threat is resolved because it **sounds safer** or more **privacy-protecting**.
- ▶ But **that's not a PPP**. That's **after-the-fact reporting**.
- ▶ **PPP is about DISRUPTION** stopping crimes **before** they happen.
- ▶ To disrupt, you need **real-time two-way communication**.
- ▶ Anonymized reporting **protects privacy** but **doesn't enable disruption**.
- ▶ **Key principle:** PPPs are about **real-time intelligence sharing** to **disrupt** active threats.

REMEMBER: Key Rule: PPP = **real-time two-way communication** for disruption.

FATF 6-Step The Component Trap

The Hard Question CAMS Exam Favorite

Which are key components of FATF's six-step framework for national ML/TF risk assessments? (Select Three.)

✓ **CORRECT: 1. Environmental scanning. 2. Horizon scanning. 3. Threat identification.**

Natural Explanation Why You Got This Wrong

- ▶ Cross-border tax enforcement This **sounds plausible** because it's related to financial crime, but it's **not** a FATF risk assessment component.
- ▶ Offshore asset repatriation Also sounds related, but **not** a component.
- ▶ **Environmental scanning:** Understanding the context (what's happening in the country? Economic, political, social).
- ▶ **Horizon scanning:** Identifying emerging risks (what's coming? New technologies, new methods).
- ▶ **Threat identification:** Identifying specific threats (who are the bad actors? What are their methods?).
- ▶ **Key principle:** FATF's framework is about **understanding risk**, not enforcement actions.

REMEMBER: Key Rule: FATF 6-step = environmental + horizon scanning + threat identification.

The Hard Question CAMS Exam Favorite

Which contribute to an elevated Financial Secrecy Index rating? (Select Three.)

✓ **CORRECT:** 1. Minimal BO reporting. 2. Extensive cross-border services to non-residents. 3. High secrecy-to-scale ratio.

Natural Explanation Why You Got This Wrong

- ▶ High ranking on global GDP without AML laws This **sounds** like it would matter, but GDP alone **doesn't create** secrecy.
- ▶ **Minimal BO reporting:** If you don't know who owns companies, that's secrecy.
- ▶ **Cross-border services to non-residents:** Providing banking services to people who don't live there enables secrecy.
- ▶ **High secrecy-to-scale ratio:** How much secrecy relative to financial activity if a small jurisdiction has a lot of secrecy, that's a red flag.
- ▶ **Key principle:** FSI measures **actual** secrecy, not just size or wealth.

REMEMBER: Key Rule: FSI factors = BO reporting + cross-border services + secrecy-to-scale ratio.

The Hard Question CAMS Exam Favorite

Which function uses EWRA results to shape risk posture?

✓ **CORRECT: The Money Laundering Reporting Officer (MLRO).**

Natural Explanation Why You Got This Wrong

- ▶ Many candidates choose Internal Audit Lead because audit **sounds** like it would shape risk.
- ▶ But **Internal Audit** is the **third line of defense** they assess controls, they don't shape risk posture.
- ▶ The **MLRO** is responsible for **managing AML risk** they use EWRA to adjust controls, enhance monitoring, and allocate resources.
- ▶ **Key principle:** MLRO = **risk manager**. Internal Audit = **risk assessor**. Different roles.

REMEMBER: Key Rule: MLRO = **shapes risk posture**. Internal Audit = **assesses** controls.

Tax Evasion vs Tax Avoidance The Distinction Trap

The Hard Question CAMS Exam Favorite

A company failed to report offshore revenue and laundered funds through an unrelated third party. What conclusion is best supported?

✓ **CORRECT: The company committed tax evasion by concealing income.**

Natural Explanation Why You Got This Wrong

- ▶ Many candidates choose legally avoided taxes through offshore structuring because offshore structuring **sounds** like tax planning.
- ▶ But there's a **critical distinction**:
 - ▶ **Tax avoidance**: Legal you structure to minimize taxes **within the law**. Full disclosure required.
 - ▶ **Tax evasion**: Illegal you **conceal** income or assets. No disclosure.
- ▶ **Failure to report + laundering through a third party** = concealment = **evasion**.
- ▶ **Key principle**: Tax avoidance requires **full disclosure**. Concealment = evasion = predicate offense for ML.

REMEMBER: Key Rule: Avoidance = legal with disclosure. Evasion = illegal with concealment.

Board Oversight The Operational Trap

The Hard Question CAMS Exam Favorite

Which actions demonstrate effective board oversight? (Select Three.)

✓ **CORRECT:** 1. Receiving regular reports on risks. 2. Reviewing management's response to audit findings. 3. Challenging management on weak performance.

Natural Explanation Why You Got This Wrong

- ▶ Many candidates choose Participating in SAR investigations because it sounds **engaged** and **involved**.
- ▶ But **boards provide OVERSIGHT**, not operational involvement.
- ▶ **Participating in SAR investigations is operational** that's for compliance staff, not the board.
- ▶ **Board duties:**
 - ▶ Receive reports (stay informed)
 - ▶ Review audit responses (hold management accountable)
 - ▶ Challenge management (ask tough questions)
- ▶ **Key principle:** Board = **oversight and challenge**. NOT doing the work.

REMEMBER: Key Rule: Board = **oversight**. NOT operational involvement.

Terrorist Financing The Movement Methods Trap

The Hard Question CAMS Exam Favorite

Which techniques are commonly used by terrorists to move or store money across borders avoiding detection? (Select Three.)

✓ **CORRECT:** 1. Fake charities. 2. Hawala (informal value transfer). 3. Physical cash transport across porous borders.

Natural Explanation Why You Got This Wrong

- ▶ Large wire transfers through regulated banks This is a **trap** because it **sounds** like a method, but it's **detectable**.
- ▶ Terrorists want to **avoid detection**, so they use **unregulated** methods.
- ▶ **Fake charities:** Disguise TF as humanitarian aid.
- ▶ **Hawala:** Informal value transfer outside regulated banking.
- ▶ **Physical cash transport:** Crosses borders avoiding detection.
- ▶ **Key principle:** Terrorists use **unregulated** and **hard-to-detect** methods.

REMEMBER: Key Rule: TF = fake charities + Hawala + physical cash. NOT regulated wire transfers.

Human Trafficking The Laundering Methods Trap

The Hard Question CAMS Exam Favorite

Which characteristics enable human trafficking operations to effectively launder illicit proceeds? (Select Two.)

✓ **CORRECT:** 1. Use of mobile payment and remittance systems. 2. Weak cross-border enforcement cooperation.

Natural Explanation Why You Got This Wrong

- ▶ High correlation between trafficking and counterfeit document operations This is **related** to trafficking, but **counterfeit documents** are a **separate crime**, not a laundering method.
- ▶ **Mobile payments/remittances:** Enable rapid movement of small amounts (structuring).
- ▶ **Weak cross-border enforcement:** Allows traffickers to operate across jurisdictions.
- ▶ **Key principle:** Traffickers launder proceeds through **rapid, small, cross-border** transactions.

REMEMBER: Key Rule: Trafficking laundering = mobile payments + weak cross-border enforcement.

TCSP The Outsourcing Trap

The Hard Question CAMS Exam Favorite

A TCSP is reviewing a client who wants confidentiality and is linked to high-risk industries in the NRA. What should the TCSP do?

✓ **CORRECT:** Decline immediately unless full BO info and risk justifications are disclosed and verified.

Natural Explanation Why You Got This Wrong

- ▶ Refer to offshore local counsel and detach from compliance responsibility This is a **trap**. You **cannot** outsource AML responsibility.
- ▶ TCSP retains compliance responsibility always.
- ▶ Confidentiality requests + high-risk industries = red flags.
- ▶ FATF Rec 24/25: BO identification is **mandatory**.
- ▶ Key principle: You can use local counsel, but you **cannot transfer liability**. You remain responsible.

REMEMBER: Key Rule: TCSP cannot outsource AML responsibility. Decline unless BO disclosed.

The Hard Question CAMS Exam Favorite

Which strategies help manage DNFBP risks? (Select Two.)

✓ **CORRECT:** 1. Creating a reputational risk/client selection committee. 2. Using standardized sector-specific questionnaires.

Natural Explanation Why You Got This Wrong

- ▶ Defaulting to EDD for all DNFBPs This **sounds** prudent, but it's **not risk-based**. You would over-control low-risk DNFBPs.
- ▶ **Risk-based approach:** Apply proportionate measures based on actual risk.
- ▶ **Client selection committee:** Governance for high-risk decisions.
- ▶ **Standardized questionnaires:** Consistent risk assessment across DNFBPs.
- ▶ **Key principle:** Risk management = **proportionate measures**, not blanket EDD.

REMEMBER: Key Rule: DNFBP risk = committee + standardized questionnaires. NOT blanket EDD.

Layering The Classification Trap

The Hard Question CAMS Exam Favorite

A private loan extended to a shell company with no operations, loan amount matches criminal proceeds. What is the initial classification?

✓ **CORRECT: A layering tactic designed to conceal the origin of illicit funds.**

Natural Explanation Why You Got This Wrong

- ▶ A placement strategy to integrate clean capital This is a **trap**. Placement is the **first stage** entering illicit funds into the system.
- ▶ **Layering** is the **second stage** concealing the origin.
- ▶ A **private loan to a shell company** creates a **false paper trail** that appears legitimate.
- ▶ The loan **distances** the funds from their criminal source.
- ▶ **Key principle:** Layering = **concealing origin**. Placement = **entering system**. Integration = **using funds legitimately**.

REMEMBER: Key Rule: Layering = **concealing origin**. Placement = **entering system**.

Proactive Response The Updating Trap

The Hard Question CAMS Exam Favorite

What is a proactive institutional response to newly detected AML risks?

✓ **CORRECT:** Immediately updating the enterprise-wide risk assessment.

Natural Explanation Why You Got This Wrong

- ▶ Reducing reliance on transaction monitoring systems This is **reactive** and **counterproductive**.
- ▶ **Proactive** = take action **before** the risk materializes.
- ▶ **Updating EWRA** allows the institution to:
 - ▶ Adjust controls
 - ▶ Allocate resources to higher-risk areas
 - ▶ Enhance monitoring before risks materialize
- ▶ **Key principle:** Proactive = **update risk assessment**. Reactive = **respond after the fact**.

REMEMBER: Key Rule: Proactive = **update EWRA immediately**.

The Hard Question CAMS Exam Favorite

Which of IOSCO's core objectives directly support anti-financial crime efforts? (Select Two.)

- ✓ **CORRECT:** 1. Enhancing investor protection through cooperation and enforcement. 2. Promoting financial stability by managing systemic risks and facilitating international information exchange.

Natural Explanation Why You Got This Wrong

- ▶ Requiring uniform compliance departments This **sounds** like it would help, but it's **not** an IOSCO objective.
- ▶ IOSCO objectives:
 - ▶ **Investor protection:** Combating fraud and market abuse.
 - ▶ **Financial stability:** Managing systemic risks and cross-border info sharing.
- ▶ **Key principle:** IOSCO's objectives are **high-level** investor protection and financial stability. Uniform departments is **operational**, not an objective.

REMEMBER: Key Rule: IOSCO = investor protection + financial stability.

IMF The Economic Success Trap

The Hard Question CAMS Exam Favorite

A nation achieved strong GDP growth after IMF reforms, but the IMF still expresses concerns. Which explanation best reflects the IMF's approach?

✓ **CORRECT: Improvements in economic measures can mask financial crime vulnerabilities.**

Natural Explanation Why You Got This Wrong

- ▶ Many candidates think: The IMF is being unfair or The country needs more reforms.
- ▶ **Key insight:** Strong GDP growth **does not** mean strong AML controls.
- ▶ A country can have **economic success** but **weak AML frameworks**.
- ▶ **IMF assessment looks BEYOND economic indicators** to evaluate financial crime vulnerabilities.
- ▶ **Key principle:** Economic success AML effectiveness. IMF evaluates **financial crime vulnerabilities** separately.

REMEMBER: Key Rule: Economic success AML effectiveness. IMF looks beyond GDP.

Open Source Research The Entity-Specific Trap

The Hard Question CAMS Exam Favorite

An analyst notes wire transfers to an unfamiliar entity in a sanctioned jurisdiction. Which information source would most help understand the activity?

✓ **CORRECT:** Open-source research into the entity.

Natural Explanation Why You Got This Wrong

- ▶ Regulatory advisories about common evasion techniques This is **general** information, not **specific** to the entity.
- ▶ **Open-source research** on the **specific entity** provides:
 - ▶ Ownership information
 - ▶ Business activities
 - ▶ Connections to other entities
 - ▶ Whether it's a shell company or front
- ▶ **Key principle:** When investigating an **unknown entity**, go to **entity-specific** sources, not general guidance.

REMEMBER: Key Rule: Unknown entity = **open-source research** on that specific entity.

Batch Screening The Volume Trap

The Hard Question CAMS Exam Favorite

Which are true about batch screening? (Select Two.)

✓ **CORRECT:** 1. It helps reveal changing risks within the existing customer base. 2. It is designed to handle large volumes of data.

Natural Explanation Why You Got This Wrong

- ▶ It provides real-time transaction screening. This is **real-time screening**, not batch screening.
- ▶ **Batch screening:** Processes data in bulk typically the entire customer database against sanctions lists, PEP lists.
- ▶ **Purpose:** Detects existing customers who have become risky (e.g., newly designated sanctions).
- ▶ **Volume-oriented:** Designed to handle millions of records.
- ▶ **Key principle:** Batch screening = **periodic re-screening** of the **entire customer base**.

REMEMBER: Key Rule: Batch screening = **large volumes** + **changing risks**. NOT real-time.

Data Extraction The Normalization Trap

The Hard Question CAMS Exam Favorite

Which best describes a challenge during AFC data extraction?

✓ **CORRECT:** Data may come in different formats, requiring normalization during integration.

Natural Explanation Why You Got This Wrong

- ▶ Many candidates think data extraction is just **pulling data** from systems. But the **real challenge** is what happens **after** you pull it.
- ▶ Different systems use **different formats**: one system uses "US," another uses "USA," another uses "840" or "United States."
- ▶ **Normalization** is the process of making all this data **consistent** so it can be used together.
- ▶ Without normalization, your transaction monitoring system can't properly analyze transactions or identify patterns.
- ▶ **Key principle:** Data extraction is **not** the challenge **data normalization** is.

REMEMBER: Key Rule: Data extraction challenge = **different formats requiring normalization**.

Data Mining The External Sources Trap

The Hard Question CAMS Exam Favorite

Which are requirements for effective data mining and matching in AFC controls? (Select Two.)

✓ **CORRECT:** 1. Comparing extracted data against structured and unstructured risk sources. 2. Applying intelligent filters to reduce false positives during entity resolution.

Natural Explanation Why You Got This Wrong

- ▶ Focusing on internal customer files for mining purposes This is a **trap**. Effective data mining requires **both internal and external** sources.
- ▶ **Structured data:** Databases, spreadsheets, formatted fields.
- ▶ **Unstructured data:** Emails, documents, free-text fields, news articles.
- ▶ **Intelligent filters:** Reduce false positives during entity resolution.
- ▶ **Key principle:** Data mining is **broad**, not narrow. You need **external** data to catch **external** risks.

REMEMBER: Key Rule: Data mining = **internal** + **external** data sources + **intelligent filters**.

Data Integration The Isolation Trap

The Hard Question CAMS Exam Favorite

Which help ensure effective integration of multiple data sources into compliance platforms? (Select Three.)

✓ **CORRECT:** 1. Maintaining a common data dictionary. 2. Mapping all incoming data to standardized field names. 3. Aligning control data requirements to system inputs.

Natural Explanation Why You Got This Wrong

- ▶ Separating internal and external data into isolated systems This is a **trap**. Separation **undermines** integration, it doesn't help it.
- ▶ **Common data dictionary:** Ensures all systems use the same definitions.
- ▶ **Field mapping:** Ensures data from source systems is translated correctly.
- ▶ **Aligning control requirements:** Ensures the monitoring system receives all necessary data.
- ▶ **Key principle:** Integration is about **connection**, not isolation.

REMEMBER: Key Rule: Integration = common dictionary + field mapping + aligned requirements.

Internal vs External Sources The Scope Trap

The Hard Question CAMS Exam Favorite

Which characteristics describe internal versus external sources used during AFC data extraction? (Select Two.)

✓ **CORRECT:** 1. Internal sources reflect observed customer behavior or system-held values. 2. External sources include sanction or adverse media lists from agencies.

Natural Explanation Why You Got This Wrong

- ▶ Internal data includes account balance snapshots, not user activity. This is **too narrow**. Internal data includes **much more** than just account balances.
- ▶ **Internal sources:** Transaction histories, account balances, customer profiles, onboarding records.
- ▶ **External sources:** Sanctions lists (OFAC, UN), PEP lists, adverse media databases.
- ▶ **Key principle:** Internal data provides **behavioral context**. External data provides **risk context**. Both are essential.

REMEMBER: Key Rule: Internal = **behavioral context**. External = **risk context**. Both needed.

The Hard Question CAMS Exam Favorite

Which are key features of well-structured AML/CFT policies aligned with the BSA? (Select Two.)

✓ **CORRECT: 1. Tailoring procedures to specific business units or jurisdictions. 2. Assigning roles and responsibilities to specific individuals or teams.**

Natural Explanation Why You Got This Wrong

- ▶ Requiring transaction reporting above a fixed institutional threshold. This is **not risk-based**. Fixed thresholds ignore risk differences.
- ▶ **Tailoring:** Different business units have different risk profiles. procedures should reflect that.
- ▶ **Assigning roles:** Accountability is critical. someone must be responsible.
- ▶ **Key principle:** BSA requires a **risk-based** approach, not a one-size-fits-all approach.

REMEMBER: Key Rule: BSA policies = **tailoring + assigning roles**. NOT fixed thresholds.

China AML Law 2025 The Expansion Trap

The Hard Question CAMS Exam Favorite

What is an accurate statement regarding China's AML Law which took effect in 2025?

✓ **CORRECT:** It added coverage for additional sectors including law firms, real estate agencies, and dealers in precious gems.

Natural Explanation Why You Got This Wrong

- ▶ It reduced coverage to only banks **NO**. It **expanded** coverage.
- ▶ It eliminated all reporting requirements **NO**. It strengthened them.
- ▶ **China's 2025 AML Law** added **DNFBPs** (designated non-financial businesses and professions) to its scope.
- ▶ This aligns China with **FATF standards** requiring DNFBPs to implement AML/CFT obligations.
- ▶ **Key principle:** The trend is **expansion**, not reduction.

REMEMBER: Key Rule: China AML 2025 = **expanded coverage** to DNFBPs.

EU AMLA The Cross-Border Trap

The Scenario CAMS Exam Favorite

An EU-based fintech operates in **5 member states** and has been flagged for non-compliance by **more than one regulator**.

The Hard Question

Which supervisory authority is most likely to assume oversight?

✓ **CORRECT: The AMLA, due to the firm's cross-border nature and risk profile.**

Natural Explanation Why You Got This Wrong

- ▶ The national regulator of headquarters This is **traditional** supervision, but AMLA changes this.
- ▶ **AMLA (Anti-Money Laundering Authority)** = new EU body (established 2024).
- ▶ **Direct supervision:** AMLA directly supervises selected **cross-border financial institutions**.
- ▶ Flagged by **multiple regulators** = cross-border risk = AMLA jurisdiction.
- ▶ **Key principle:** AMLA = **centralized supervision** for cross-border, high-risk EU institutions.

REMEMBER: Key Rule: AMLA = **centralized supervision** for cross-border, high-risk EU institutions.

UK Risk-Based Approach The Purpose Trap

The Hard Question CAMS Exam Favorite

Under the UK's AML framework, what is the primary purpose of the risk-based approach?

✓ **CORRECT:** To allow firms to customize controls suited to their risk exposure.

Natural Explanation Why You Got This Wrong

- ▶ To eliminate all AML controls **NO**. Controls are still required.
- ▶ To require the same controls for all firms That's **prescriptive**, not risk-based.
- ▶ **Customize controls to risk** = allocate resources to highest risk areas.
- ▶ **NOT** zero due diligence some CDD always required.
- ▶ **NOT** de-risking cannot simply decline entire categories.
- ▶ **Key principle:** Risk-based approach = **customize controls** to risk exposure.

REMEMBER: Key Rule: Risk-based approach = **customize controls to risk**.

Concentration Account The Traceability Trap

The Hard Question CAMS Exam Favorite

A treasury unit uses a concentration account lacking sufficient oversight. What is the most likely regulatory concern?

✓ **CORRECT:** The institution might inadvertently facilitate money laundering due to poor traceability.

Natural Explanation Why You Got This Wrong

- ▶ The account has high transaction fees Not a regulatory concern.
- ▶ The account violates tax laws Not the primary concern.
- ▶ **Concentration accounts (nostro/vostro)** aggregate funds from multiple customers.
- ▶ Without oversight, it's difficult to identify the **ultimate originator or beneficiary**.
- ▶ This **inadvertently facilitates money laundering** by obscuring the source of funds.
- ▶ **Key principle:** Concentration accounts require **strong oversight** for traceability.

REMEMBER: Key Rule: Concentration account risk = **poor traceability** = ML facilitation.

Trade Topology The Penny Stock Trap

The Hard Question CAMS Exam Favorite

Two trades: high-volume equities with normal volatility vs low-volume penny stocks with rapid pricing shifts. Both passed basic monitoring. Which should be prioritized?

✓ **CORRECT:** The penny stock trade, due to higher manipulation risk.

Natural Explanation Why You Got This Wrong

- ▶ Both equally, as volume and volatility are neutral indicators. This ignores **risk-based** prioritization.
- ▶ **Low-volume penny stocks** are more susceptible to **manipulation** (pump-and-dump, wash trading).
- ▶ **High-volume equities** with normal volatility are less suspicious.
- ▶ Passing basic monitoring **does not** eliminate the need for risk-based prioritization.
- ▶ **Key principle:** Risk-based approach = prioritize **higher-risk** activities.

REMEMBER: Key Rule: Penny stocks = **higher manipulation risk**. Prioritize them.

Risk-Based Authentication The UX Trap

The Hard Question CAMS Exam Favorite

How do risk-based authentication systems optimize user experience?

✓ **CORRECT:** They prompt additional checks only when user behavior deviates from expectations.

Natural Explanation Why You Got This Wrong

- ▶ They eliminate all authentication requirements **NO**. Security still required.
- ▶ They always require MFA for all users That's **not risk-based**, it's **uniform**.
- ▶ **Risk-based authentication (RBA)** uses **behavioral analytics** to establish a baseline of "normal" behavior.
- ▶ When behavior deviates, RBA prompts additional checks.
- ▶ Low-risk users have **frictionless** experiences; high-risk activities trigger additional authentication.
- ▶ **Key principle:** RBA balances **security and convenience**.

REMEMBER: Key Rule: RBA = prompt only when behavior deviates.

OFAC The Sanctions Trap

The Hard Question CAMS Exam Favorite

What is the primary focus of OFAC in U.S. financial regulation?

✓ **CORRECT:** Issuing and enforcing economic and trade sanctions.

Natural Explanation Why You Got This Wrong

- ▶ Regulating anti-money laundering programs That's **FinCEN**, not OFAC.
- ▶ Supervising banks That's **Federal Reserve/OCC**, not OFAC.
- ▶ **OFAC = sanctions enforcement.**
- ▶ **SDN List:** Specially Designated Nationals and Blocked Persons.
- ▶ **50% Rule:** If sanctioned entity owns 50%+ of another entity, that entity is also blocked.
- ▶ **Strict liability:** No intent required.
- ▶ **Key principle:** OFAC = sanctions. FinCEN = AML/BSA. Don't confuse them.

REMEMBER: Key Rule: OFAC = sanctions. FinCEN = AML/BSA.

E-Commerce Mitigation The Tiered Onboarding Trap

The Hard Question CAMS Exam Favorite

Which strategies help e-commerce platforms mitigate ML risks? (Select Two.)

✓ **CORRECT:** 1. Introducing tiered onboarding based on projected sales activity. 2. Conducting sanctions screening on all sellers during onboarding.

Natural Explanation Why You Got This Wrong

- ▶ Implementing seller-rankings based on transaction volume This could **incentivize ML activity** by encouraging high-volume sellers to launder more.
- ▶ **Tiered onboarding:** Scales CDD to risk level (higher volume = more scrutiny).
- ▶ **Sanctions screening:** Catches sanctioned entities before they join the platform.
- ▶ **Key principle:** Mitigation = risk-based CDD + sanctions screening.

REMEMBER: Key Rule: E-commerce mitigation = tiered onboarding + sanctions screening.

Tokens The Decentralized vs Centralized Trap

The Hard Question CAMS Exam Favorite

Which are accurate statements regarding tokens in ML activities? (Select Two.)

✓ **CORRECT:** Tokens may be exchanged rapidly on decentralized platforms, obscuring source and destination of funds.

Natural Explanation Why You Got This Wrong

- ▶ Tokens may be exchanged rapidly on centralized platforms, obscuring source and destination **NO**. Centralized platforms require KYC and provide tracing.
- ▶ **Decentralized platforms (DEXs)** allow rapid token exchanges **without** KYC.
- ▶ This **obscures** source and destination of funds.
- ▶ **Centralized platforms** require KYC and are traceable.
- ▶ **Key principle:** Decentralized = anonymity. Centralized = KYC and traceability.

REMEMBER: Key Rule: Decentralized = anonymity. Centralized = KYC and traceability.

High-Value Assets The Crypto Red Flag Trap

The Hard Question CAMS Exam Favorite

Which red flag is most commonly associated with abuse of high-value assets for laundering?

✓ **CORRECT:** Making payments for high-value items in cryptocurrency.

Natural Explanation Why You Got This Wrong

- ▶ Purchasing assets with complex financing plans This **can** be a red flag, but crypto is **more directly** associated.
- ▶ **Cryptocurrency offers pseudonymity**, making it attractive for illicit payments.
- ▶ **High-value items:** Real estate, art, luxury cars purchased with crypto = suspicion.
- ▶ **Key principle:** Crypto payments for high-value assets = **primary red flag**.

REMEMBER: Key Rule: Crypto payments for high-value assets = **primary red flag**.

PSP The Customization Trap

The Scenario CAMS Exam Favorite

A PSP is planning to offer new services targeting small merchants in multiple countries, some lacking mature AML frameworks.

The Hard Question

Which strategy is most appropriate?

✓ **CORRECT:** Customize AML policy and onboarding procedures per jurisdiction and product.

Natural Explanation Why You Got This Wrong

- ▶ Apply home-country AML standards across all jurisdictions **NO**. One-size-fits-all fails.
- ▶ **Jurisdiction-specific:** High-risk = EDD, transaction limits, or restricted services.
- ▶ **Product-specific:** Low-value vs high-value = different risk profiles.
- ▶ **Key principle:** PSPs must **customize** AML per jurisdiction and product.

REMEMBER: Key Rule: PSPs = customize per jurisdiction and product.

The Hard Question CAMS Exam Favorite

Which control measures help mitigate AML risks in casinos? (Select Two.)

- ✓ **CORRECT:** 1. Enforcing chip redemption policies tied to minimum gaming thresholds.
2. Tracking player activity through registered loyalty programs.

Natural Explanation Why You Got This Wrong

- ▶ Monitoring unstructured table gameplay for win/loss patterns This is a **monitoring technique**, not a formal control measure.
- ▶ **Chip redemption policies:** Prevents "chip washing" exchanging chips for cash without meaningful gaming.
- ▶ **Loyalty programs:** Provide rich data on player behavior (wins, losses, session durations).
- ▶ **Key principle:** Controls = **formal policies** + **tracking mechanisms**.

REMEMBER: Key Rule: Casino controls = chip redemption + loyalty program tracking.

E-Commerce Monitoring The Volume Trap

The Hard Question CAMS Exam Favorite

Why is transaction monitoring particularly challenging in an e-commerce context?

✓ **CORRECT:** High transaction volumes and decentralized payments make patterns harder to detect.

Natural Explanation Why You Got This Wrong

- ▶ Transactions are always small and therefore low-risk **NO**. Small transactions can still be suspicious.
- ▶ **High volume:** Millions of transactions daily traditional rules-based monitoring generates too many false positives.
- ▶ **Decentralized payments:** Multiple payment gateways, cryptocurrencies, digital wallets.
- ▶ **Key principle:** E-commerce challenge = **high volume** + **decentralized payments**.

REMEMBER: Key Rule: E-commerce challenge = **high volume** + **decentralized payments**.

Data Lineage The Transparency Trap

The Hard Question CAMS Exam Favorite

Which support transparency and auditability through data lineage? (Select Two.)

✓ **CORRECT:** 1. Maintaining history of data transformations. 2. Capturing source of each data field.

Natural Explanation Why You Got This Wrong

- ▶ Archiving analyst notes from alert reviews This is **case documentation**, NOT data lineage.
- ▶ Deleting outdated data annually **Undermines** auditability.
- ▶ **Data lineage:** Tracking the **flow of data** from source to destination.
- ▶ **History of transformations:** Shows how data was modified.
- ▶ **Source of each field:** Shows where data originated.
- ▶ **Key principle:** Data lineage = **transformations + source**. NOT case notes.

REMEMBER: Key Rule: Data lineage = transformations history + source of each field.

Data Validation The Objectives Trap

The Hard Question CAMS Exam Favorite

Which are typical objectives of data validation and testing in AFC systems? (Select Three.)

✓ **CORRECT:** 1. Ensuring data inputs reflect actual customer behavior. 2. Verifying automated controls function correctly. 3. Testing whether controls generate alerts under appropriate risk conditions.

Natural Explanation Why You Got This Wrong

- ▶ Confirming reports are generated in a format preferred by third-party vendors **NOT** a validation objective.
- ▶ **Data inputs reflect behavior:** Test that data from source systems accurately feeds into AML systems.
- ▶ **Controls functioning:** Validate that transaction monitoring rules fire alerts correctly.
- ▶ **Alerts under risk conditions:** Use known test cases to validate system logic.
- ▶ **Key principle:** Validation = accuracy + functionality + appropriate alerts.

REMEMBER: Key Rule: Data validation = accuracy + functionality + appropriate alerts.

Clustering The Behavioral Trap

The Hard Question CAMS Exam Favorite

Which are characteristics of clustering in compliance analytics? (Select Two.)

✓ **CORRECT:** 1. It groups entities by shared behavioral characteristics. 2. It identifies connections across multiple transaction types.

Natural Explanation Why You Got This Wrong

- ▶ It excludes outliers to reduce financial crime risk **NO**. Outliers are often the **most suspicious**.
- ▶ **Clustering:** Groups entities that exhibit similar behaviors.
- ▶ **Purpose:** Detect networks of criminal activity (money mule networks, organized crime).
- ▶ **Connections across transaction types:** Links separate accounts that exhibit similar patterns.
- ▶ **Key principle:** Clustering = **shared behavior + connections**. NOT excluding outliers.

REMEMBER: Key Rule: Clustering = **shared behaviors + connections**.

The Hard Question CAMS Exam Favorite

Which benefits are associated with digital onboarding technology according to FATF? (Select Two.)

✓ **CORRECT: 1. Lower cost and increased auditability. 2. Greater accountability in compliance processes.**

Natural Explanation Why You Got This Wrong

- ▶ Elimination of human review for high-risk customers **NO**. High-risk still require human review.
- ▶ **Lower cost**: Automation reduces manual effort.
- ▶ **Increased auditability**: Digital records are easier to track and audit.
- ▶ **Greater accountability**: Clear audit trails of who did what.
- ▶ **Key principle**: Digital onboarding = **lower cost + auditability + accountability**. NOT eliminating human review.

REMEMBER: Key Rule: Digital onboarding = **lower cost + auditability + accountability**.

Perpetual KYC The Trigger-Based Trap

The Hard Question CAMS Exam Favorite

Which feature most effectively distinguishes perpetual KYC from traditional periodic reviews?

✓ **CORRECT: Trigger-based updates rather than fixed calendar reviews.**

Natural Explanation Why You Got This Wrong

- ▶ It eliminates all manual review **NO**. Human review is still required.
- ▶ **Perpetual KYC (pKYC)**: Continuous, event-driven KYC refresh.
- ▶ **Triggers**:
 - ▶ Changes in PEP status
 - ▶ Adverse media hits
 - ▶ Unusual transaction patterns
 - ▶ Jurisdictional risk changes
- ▶ **Benefits**: Reduces customer friction, improves accuracy, ensures timely EDD.
- ▶ **Key principle**: pKYC = **trigger-based**, not calendar-based.

REMEMBER: Key Rule: pKYC = **trigger-based updates**, not fixed calendar reviews.

Deepfake Detection The Liveness Trap

The Scenario CAMS Exam Favorite

A fraudster used a high-resolution image and a deepfake video to bypass facial recognition.

The Hard Question

What tools could have prevented this? (Select Two.)

✓ **CORRECT:** 1. Software detecting inconsistencies in light or skin texture. 2. Prompts for the customer to blink, smile, or repeat a phrase.

Natural Explanation Why You Got This Wrong

- ▶ Real-time fraud risk scoring using behavioral analytics This is **behavioral analytics**, not deepfake detection.
- ▶ **Texture analysis:** Deepfakes often have inconsistencies in light, skin texture, and shadows.
- ▶ **Active liveness prompts:** Blink, smile, repeat a phrase requires real-time action.
- ▶ **Key principle:** Deepfake detection = texture analysis + active liveness prompts.

REMEMBER: Key Rule: Deepfake detection = texture analysis + active liveness prompts.

The Hard Question CAMS Exam Favorite

What should AML-sensitive communications emphasize to reduce risk? (Select Two.)

✓ **CORRECT: 1. Avoid mentioning internal reviews. 2. Use pre-approved scripts for service disruptions.**

Natural Explanation Why You Got This Wrong

- ▶ Refer customers to the AML department for financial advice **NO**. AML doesn't give financial advice.
- ▶ **Avoid mentioning internal reviews:** Prevents tipping off.
- ▶ **Pre-approved scripts:** Ensures consistent, compliant messaging.
- ▶ **Key principle:** Customer-facing staff must **not** reveal any AML investigations.

REMEMBER: Key Rule: AML communications = avoid reviews + use pre-approved scripts.

Entity Resolution The Blockchain Trap

The Hard Question CAMS Exam Favorite

How does entity resolution improve blockchain analytics?

✓ **CORRECT:** It links data from multiple sources to improve match accuracy.

Natural Explanation Why You Got This Wrong

- ▶ It replaces all manual reviews **NO.** It's a tool, not a replacement.
- ▶ **Entity resolution:** Links on-chain wallet addresses to off-chain risk data.
- ▶ **Multiple sources:** Wallet addresses, KYC data, sanctions lists, PEP lists, adverse media.
- ▶ **Improves match accuracy:** Reduces false positives and false negatives.
- ▶ **Key principle:** Entity resolution = **links data from multiple sources.**

REMEMBER: Key Rule: Entity resolution = **links data from multiple sources** to improve accuracy.

SAR/STR The Threshold Trap

The Hard Question CAMS Exam Favorite

Is there a minimum amount for SAR/STR filing?

✓ **CORRECT:** No minimum amount file based on reasonable suspicion.

Natural Explanation Why You Got This Wrong

- ▶ \$5,000 minimum That's a **US SAR threshold** (FIs), but NOT universal.
- ▶ \$10,000 minimum That's **CTR**, not SAR.
- ▶ **SAR/STR = reasonable suspicion**, NOT amount.
- ▶ **Attempted transactions** must be reported.
- ▶ **Structuring** must be reported.
- ▶ **Key principle:** Suspicion drives filing, NOT amount.

REMEMBER: Key Rule: SAR/STR = reasonable suspicion, NOT amount.

Shell Companies The Secrecy Laws Trap

The Hard Question CAMS Exam Favorite

Which characteristics are commonly associated with shell companies used for ML? (Select Three.)

✓ **CORRECT:** 1. No significant assets or operations. 2. Registered in jurisdictions with strict secrecy laws. 3. Used to conceal beneficial ownership.

Natural Explanation Why You Got This Wrong

- ▶ Bearer shares issued to identifiable natural persons **NO**. Bearer shares are **anonymous**, not identifiable.
- ▶ **No assets/operations:** Shell companies are empty vehicles.
- ▶ **Strict secrecy laws:** Jurisdictions with secrecy laws enable anonymity.
- ▶ **Conceal BO:** The primary purpose is to hide who owns the company.
- ▶ **Key principle:** Shell companies = **empty** + **secretive** + **BO-concealing**.

REMEMBER: Key Rule: Shell companies = **no operations** + **secrecy laws** + **BO concealment**.

Structuring The Small Deposits Trap

The Hard Question CAMS Exam Favorite

A fraud analyst discovers small cash deposits over several days, followed by a sudden international wire transfer. What laundering method is most likely being used?

✓ **CORRECT: Structuring (smurfing).**

Natural Explanation Why You Got This Wrong

- ▶ Trade-based money laundering This involves **trade transactions**, not cash deposits.
- ▶ Layering Layering involves **concealing origin**, but the initial pattern is structuring.
- ▶ **Structuring:** Breaking up large transactions into smaller amounts to avoid reporting thresholds.
- ▶ **Pattern:** Small deposits (avoid CTR threshold) + sudden wire transfer (integration).
- ▶ **Key principle:** Structuring = **small deposits to avoid thresholds** + sudden movement.

REMEMBER: Key Rule: Structuring = **small deposits** + **sudden wire transfer**.

Trade-Based ML The Mispricing Trap

The Hard Question CAMS Exam Favorite

A textile exporter sends shipments priced significantly below market rates, and the counterpart pays the remainder via separate wire transfers to a third party. What does this suggest?

✓ **CORRECT:** Intentional trade mispricing for money laundering.

Natural Explanation Why You Got This Wrong

- ▶ Normal business practice **NO**. Below-market pricing + third-party payments = suspicious.
- ▶ Legitimate tax avoidance **NO**. Tax avoidance requires disclosure, not concealment.
- ▶ **Under-invoicing:** Goods priced below market to move value.
- ▶ **Third-party payments:** The difference is laundered through separate payments.
- ▶ **Key principle:** Trade mispricing = **under/over-invoicing** + **third-party payments**.

REMEMBER: Key Rule: TBML mispricing = **below-market pricing** + **third-party payments**.

DORA The Centralized Oversight Trap

The Hard Question CAMS Exam Favorite

A cross-border bank is reviewing digital risk governance. What action best aligns with DORA?

✓ **CORRECT: Centralizing oversight of ICT risk management across all member-state branches.**

Natural Explanation Why You Got This Wrong

- ▶ Relying on each national regulator's cybersecurity requirements **Insufficient**. DORA mandates **pan-European** oversight.
- ▶ **Centralized** = unified governance across all EU operations.
- ▶ **Not** just compliance with each country's rules.
- ▶ Requires **single** ICT risk governance framework for the entire group.
- ▶ **Key principle**: DORA = **centralized ICT oversight**. National rules are not enough.

REMEMBER: Key Rule: DORA = centralized ICT oversight.

The Hard Question CAMS Exam Favorite

Which elements do device intelligence tools capture? (Select Three.)

✓ **CORRECT:** 1. IP address and geolocation. 2. Operating system and installed plugins. 3. Browser type and screen resolution.

Natural Explanation Why You Got This Wrong

- ▶ Social media accounts and browsing history **NO**. Device intelligence captures **device fingerprinting**, not social media.
- ▶ **IP address/geolocation:** Location and network information.
- ▶ **OS/plugins:** Device configuration.
- ▶ **Browser/screen resolution:** Browser fingerprinting.
- ▶ **Key principle:** Device intelligence = **device fingerprinting**, NOT social media or browsing history.

REMEMBER: Key Rule: Device intelligence = **device fingerprinting**. NOT social media.

AI Transition The Data/People/Explainability Trap

The Hard Question CAMS Exam Favorite

Which actions are most important when transitioning to AI-based compliance tools? (Select Three.)

✓ **CORRECT:** 1. Ensuring data quality for training algorithms. 2. Managing change in employee workflows. 3. Verifying transparency and explainability in AI models.

Natural Explanation Why You Got This Wrong

- ▶ Selecting third-party global audit providers This is **less critical** than data, people, and explainability.
- ▶ **Data quality:** "Garbage in, garbage out" AI is only as good as its training data.
- ▶ **Employee workflows:** AI changes how analysts work must provide adequate training.
- ▶ **Explainability:** Regulators require **explainable AI** must justify why an AI flagged something.
- ▶ **Key principle:** AI transition = data + people + explainability.

REMEMBER: Key Rule: AI transition = data + people + explainability.

RPA The Large-Volume Trap

The Hard Question CAMS Exam Favorite

One advantage of RPA in AML operations is that it can:

✓ **CORRECT:** Reduce compliance costs by handling large-volume, repeatable tasks.

Natural Explanation Why You Got This Wrong

- ▶ Replace all human decision-making **NO**. RPA automates **tasks**, not decisions.
- ▶ Eliminate all false positives **NO**. RPA doesn't eliminate false positives.
- ▶ **RPA:** Handles large-volume, repeatable tasks (data extraction, reconciliation, report generation).
- ▶ **Key principle:** RPA = large-volume, repeatable tasks. NOT decision-making.

REMEMBER: Key Rule: RPA = large-volume, repeatable tasks.

Biometrics The Compromised Data Trap

The Hard Question CAMS Exam Favorite

Which risk is specifically associated with facial recognition compared to passwords?

✓ **CORRECT:** Compromised biometric data is difficult to change or reset unlike passwords.

Natural Explanation Why You Got This Wrong

- ▶ The technology requires more storage capacity Not a unique risk.
- ▶ Facial recognition is less secure Not necessarily true.
- ▶ **Passwords can be changed** if compromised, you reset them.
- ▶ **Biometrics cannot be changed** you can't get a new face or fingerprint.
- ▶ Once biometric data is compromised, it's **permanently compromised**.
- ▶ **Key principle:** Biometric risk = **irreplaceable** can't change like passwords.

REMEMBER: Key Rule: Biometric risk = can't change like passwords.

The Hard Question CAMS Exam Favorite

A fintech relies solely on device recognition for authentication. What additional measures could improve controls? (Select Two.)

✓ **CORRECT: 1. Implementing document verification with biometric authentication. 2. Integrating with national electronic identity verification systems.**

Natural Explanation Why You Got This Wrong

- ▶ Enhancing digital footprint analysis through IP verification IP verification is **already part** of device recognition.
- ▶ Relying solely on social media verification Not a reliable identity verification method.
- ▶ **Document verification + biometrics:** Ensures identity authenticity.
- ▶ **National e-ID integration:** Leverages trusted government identity databases.
- ▶ **Key principle:** Identity verification = **document verification + biometrics + e-ID integration.**

REMEMBER: Key Rule: Identity verification = **document + biometrics + e-ID.**

OFAC Screening The Proportionality Trap

The Hard Question CAMS Exam Favorite

A luxury brand with modest client base wants sanctions screening. Which setup is most appropriate?

✓ **CORRECT:** Using spreadsheets linked to the OFAC website for customer checks.

Natural Explanation Why You Got This Wrong

- ▶ Implementing a batch screening audit conducted annually This is **reactive**, not proactive.
- ▶ Full automated real-time system **Overkill** for a small business; cost-prohibitive.
- ▶ **Spreadsheets + OFAC website:** Proportionate for small volume.
- ▶ **Risk-based approach:** Allows scaled controls based on size and risk.
- ▶ **Key principle:** Screening must be **proportionate** to risk and size.

REMEMBER: Key Rule: Screening = proportionate to risk and size.

Rules-Based Monitoring The Legacy Customer Trap

The Hard Question CAMS Exam Favorite

A rules-based system generates high alerts for a legacy customer whose monthly deposits have been consistent for years. What is the most appropriate next step?

✓ **CORRECT: Update customer information about expected transaction patterns in the monitoring system.**

Natural Explanation Why You Got This Wrong

- ▶ Escalate all alerts to Level 2 This is **inefficient** and wastes resources.
- ▶ Increase the alert threshold Could **miss** real risk.
- ▶ **Update expected patterns:** The system needs to know what's **normal** for this customer.
- ▶ This reduces false positives **while maintaining detection**.
- ▶ **Key principle:** Monitoring systems need **up-to-date customer profiles**.

REMEMBER: Key Rule: Update expected patterns to reduce false positives.

G-20 Anti-Corruption The Action Plan Trap

The Hard Question CAMS Exam Favorite

The G-20 Anti-Corruption Working Group contributes to anti-corruption efforts by:

✓ **CORRECT:** Coordinating with member states to establish and implement multi-year anti-corruption action plans.

Natural Explanation Why You Got This Wrong

- ▶ Setting CPI scores based on national prosecutions That's **Transparency International**, not G-20.
- ▶ **G-20 ACWG** = coordination and action plans.
- ▶ **Multi-year action plans:** Structured, long-term anti-corruption efforts.
- ▶ **Key principle:** G-20 ACWG = **coordination + action plans**. NOT CPI.

REMEMBER: Key Rule: G-20 ACWG = coordination + action plans.

Basel AML Index The Vulnerability Trap

The Hard Question CAMS Exam Favorite

Why would a national enforcement agency choose the Basel AML Index?

✓ **CORRECT:** It compiles **vulnerability indicators** across legal, political, and financial dimensions.

Natural Explanation Why You Got This Wrong

- ▶ Ranks countries by GDP growth rate **NO**. That's economic, not AML.
- ▶ Tracks individual ML convictions Too narrow; not the purpose.
- ▶ **Basel AML Index = country risk assessment** for AML/CFT.
- ▶ Compiles **vulnerability indicators** across multiple dimensions.
- ▶ Used for **due diligence** and **country risk scoring**.
- ▶ **Key principle:** Basel AML Index = **vulnerability indicators**.

REMEMBER: Key Rule: Basel AML Index = **vulnerability indicators**.

Top Traps Natural Language Summary

1. **Authentication:** "Password biometrics" = trap. Use MFA + physiological + behavioral.
2. **VASP/MiCA:** White paper + one notification. NOT each country.
3. **MLAT:** Challenge = admissibility, not just sharing.
4. **PPP:** Real-time two-way communication. NOT post-hoc reporting.
5. **FATF 6-Step:** Environmental + horizon scanning + threat identification.
6. **FSI:** BO reporting + cross-border services + secrecy-to-scale ratio.
7. **EWRA:** MLRO shapes risk. Internal Audit assesses controls.
8. **Tax:** Avoidance = legal with disclosure. Evasion = illegal with concealment.
9. **Board:** Oversight and challenge. NOT operational involvement.
10. **TF:** Fake charities + Hawala + physical cash. NOT regulated wire transfers.
11. **Trafficking:** Mobile payments + weak cross-border enforcement.
12. **TCSP:** Cannot outsource AML responsibility.
13. **DNFBP:** Committee + questionnaires. NOT blanket EDD.
14. **Layering:** Concealing origin. Placement = entering system.
15. **Proactive:** Update EWRA immediately.
16. **IOSCO:** Investor protection + financial stability.
17. **Open Source:** Entity-specific research. NOT general guidance.
18. **Batch Screening:** Large volumes + changing risks. NOT real-time.
19. **Data Extraction:** Normalization challenge.
20. **Data Mining:** Internal + external sources + intelligent filters.
21. **Data Integration:** Connection, not isolation.
22. **BSA:** Tailoring + assigning roles. NOT fixed thresholds.
23. **China AML 2025:** Expanded to DNFBPs.
24. **AMLA:** Cross-border, high-risk = AMLA oversight.
25. **DORA:** Centralized ICT oversight.

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